needed to be endorsed by the government. The Ambassador directly queried senior MANAMA 00000047 002 OF 003 GOB officials and learned that no formal decision had yet been reached. Accordingly, he advised Boeing of his recommendation - it was too soon to walk away.

8.(C) Boeing renewed its request for advocacy. The Ambassador and Econoff persisted in lobbying Gulf Air management, board members, government officials and representatives of parliament. The Ambassador made the case repeatedly that Airbus, lower up-front costs would be eclipsed by Boeing's lower operating costs and product reliability. He made much of the fact that the Airbus A-350 alternative was still on the drawing board.

------- COURSE CORRECTION -------

9.(C) Kooheji urgently requested a meeting with the Ambassador on December 30 to advise him that the Crown Prince and King had rejected Gulf Air's proposal to buy Airbus, and directed him to make a deal with Boeing in time to coincide with the January 12-13 POTUS visit. Kooheji said he would accordingly seek to come to terms with Boeing. However, if Boeing were to respond that its best deal was already on the table, Kooheji would be unable to justify a revised board recommendation. Boeing would need to show willingness to make some concession(s) that Kooheji could point to as equation-altering.

10.(C) The Ambassador notified Boeing that its representatives would need to return to Bahrain quickly and be ready to finalize an agreement. Somewhat skeptical, Boeing executives initially responded that their obligations precluded a return to Bahrain before January 14. The Ambassador pointed out that this would be too late. Boeing subsequently returned to Bahrain and called on the Ambassador January 3rd. The Ambassador shared that he had spoken directly to the Crown Prince on Boeing's behalf. The Crown Prince had assured him of the Government's sincerity in seeking a deal. This was not merely a last-minute maneuver to wring concessions from Airbus.

11.(C) Encouraged by such a high-level assurance of good faith, Boeing responded by shaving an additional five percent off its proposed sale price. This concession proved decisive in providing Kooheji with the justification he sought to advocate a board decision for Boeing.